between the country-specific tone in corporate managers' public communication and trust biases held by the residents in their country.

A complementary way of rationalizing our bank-level measure is by focusing on how information sent from branches in host countries is favorably received by directors at bank headquarters, insofar as the latter share the same stereotypes. The existence of shared stereotypes reflects the extent to which banks hire and promote internally across borders, such that the composition of bank boards and officers mirrors the geography of the bank's branch network. We provide empirical support for this framework, showing that foreign branch networks significantly predict the national composition of high-level managerial teams at bank headquarters including executive board and board of directors.

Following a review of literature in Section 2, we describe our data and model in Sections 3 and 4. In Section 5, we present our findings. Section 6 develops a framework of banks as organizational hierarchies and presents suggestive evidence for potential mechanisms. Section 7 concludes.

## 2. Literature

Our paper is related to several literatures. First, there is research on trust and financial transactions. Guiso, Sapienza, and Zingales (2004, 2008) show that less trusting individuals are less likely to use cheques or purchase stocks and more likely to hold their financial holdings in cash. Gennaioli et al. (2022) show that the incidence of insurance claims and their dispute, rejection, and payment are affected by average levels of interpersonal trust in the country where the insurance is extended. Hagendorff, Lim and Nguyen (2023) examine the corporate loan market and find that lenders whose CEO comes from an ancestral country characterized by high levels of trust charge lower interest rates on US syndicated loans.[4]

In the context of cross-border transactions, a series of studies utilize measures of bilateral trust based on survey data from Eurobarometer. In a seminal paper, Guiso, Sapienza, and Zingales (2009) show that more trust between countries is positively associated with levels of economic exchange such as trade, portfolio investment and foreign direct investment. Bloom, Sadun, and Van Reenen (2012) find that more bilateral trust correlates with more decentralization by multinational firms, which increases productivity. Bottazzi, Da Rin, and Hellmann (2016) argue that the

4. A related literature investigates the determinants of public trust in banks and financial institutions. Knell and Stix (2015) find that trust in banks is negatively related to individuals' direct experience with bank failures. Fungacova, Hasan, and Weill (2017) use data for 72 countries from the World Values Survey to establish that women, the wealthy, the young, the religious, and individuals with pro-market economic views place the most trust in banks. Other studies consider the consequences of such trust for individuals and banks themselves. Analyzing survey data from five Central European countries, Stix (2013) finds that individuals with less trust in banks have a stronger preference for cash relative to savings accounts. Bachas et al. (2021) show that debit cards can help individuals build trust in their banks by more easily having access to their accounts.

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international investment decisions of venture capital firms are influenced by trust, especially in the case of early-stage investments. Pursiainen (2022) finds that stock recommendations are biased in favor of firms in countries more trusted by residents of the equity analyst's home country, again as measured by Eurobarometer.

As shown in our online appendix, similar country-level results carry over to the present case of bank holdings of sovereign bonds. But our analysis departs from these earlier studies in that we construct measures of trust at the individual bank level. We show that bank-level trust shapes bank lending to sovereigns even after controlling via fixed effects for unobservables that may vary across country pairs and over time.

Second, there is a literature on cultural proximity and international investments. Kogut and Singh (1988) examine how cultural distance, captured by cultural indices of Hofstede (1980), shapes foreign firms' choice of entry mode into the US. Siegel, Licht, and Schwartz (2011) employ the concept of egalitarianism constructed by Schwartz (1994) to show that cross-border bond and equity issuance is lower between nations differing on this dimension. Constructing cultural proxies from the World Values Survey, Giannetti and Yafeh (2012) find that greater cultural distance between the countries of a borrower and lender leads banks to offer borrowers smaller and more expensive loans, whereas Ahern, Daminelli, and Fracassi (2015) find that cultural distance reduces merger activity across borders. Finally, Karolyi (2016) documents the negative association of cultural distance with institutional portfolio holdings.[5]

Our focus is trust, not cultural distance or other cultural proxies such as language. We therefore document the unique role that trust plays in bank lending to governments, controlling separately for cultural distance. In addition, we highlight the acquisition and diffusion of cultural traits through branch networks and informational/managerial flows within multinational banks.[6]

Third, there is the literature on the determinants of banks' sovereign exposures. Broner, Martin, and Ventura (2010) show that the value of government bonds may depend on which banks hold these assets, since governments are less likely to default if local banks are expected to suffer adverse consequences. Sovereign bonds tend to move from foreign- to domestic-bank portfolios in times of crisis in anticipation of these incentives. Other scholars observe that governments engage in financial repression by forcing banks in their jurisdiction to hold domestic government bonds;

5. In addition, a large literature measures cultural proximity using the commonality of different indicators across countries. Grinblatt and Keloharju (2001), cited above, find that investors are more likely to buy, hold, and sell the stocks of firms that are located close by, that communicate in an investor's native language, and that have CEOs of their ethnic background. Sarkissian and Schill (2004) show that firms prefer listing their stock in the markets of countries that are culturally close to their home country (as proxied by language or historic colonial relationship). Mian (2006) documents that greater physical distance between a foreign bank's headquarters and local branches depresses lending by the latter. Using data from an Indian bank, Fisman, Paravisini, and Vig (2017) find that cultural distance between borrower and lender, as captured by religion and caste, reduces the quantity of credit. Accetturo et al. (2023), using data from South Tyrol, where two cultural and linguistic groups, German and Italian, coexist by law, show that firms are more likely to apply for loans from culturally and linguistically proximate banks.

6. See Fisman and Miguel (2007) for how cultural norms spread when legal environment is muted; Fernández and Fogli (2009) for the diffusion of culture in the domains of individual work and fertility.

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this aggravates home bias in banks' sovereign debt portfolios.[7] Undercapitalization and risk shifting also may explain banks' sovereign exposures specifically in crisis periods (Acharya and Steffen, 2015; Crosignani, 2021). More broadly, information asymmetries limit the diversification of banks' sovereign debt portfolios (Saka, 2020; De Marco, Macchiavelli, and Valchev, 2021).

Our paper points to an additional determinant of banks' sovereign lending decisions not analyzed previously. It shows that cultural stereotypes play a role in the composition of sovereign debt portfolios in normal times and have an especially powerful role when governments encounter financial or political turbulence.

## 3. Data

Europe is a natural laboratory for our analysis. Its Single Market poses few economic or regulatory barriers to cross-border investment, for which one otherwise must control.[8] It has an EBA and an SSM providing information on cross-border exposures and ensuring consistent application of regulations and supervisory policies. Levels of trust reported by residents of one European country in another vary widely. Qualitative accounts from the euro crisis and the Greek sovereign debt crisis emphasize trust, or lack thereof—of, inter alia, of Germans in Greeks and Greeks in Germans—as complicating orderly resolution.[9] The fact that European banks held Greek government bonds, and that those holdings were concentrated in the portfolios of some countries' banks but not others, complicated efforts to resolve the crisis. If cultural biases had an effect on these investment decisions and crisis-resolution efforts, it is important to recover their role.

Our data on bank-level debt portfolios are from the EBA. EBA first provided these disclosures in 2010 in response to the Eurozone debt crisis. Subsequently, it provided information at the consolidated parent-bank level biannually. We collect these data from CEBS and EBA websites.[10] Online Appendix Table A.1 documents the dates of

7. Such "moral suasion" by governments toward domestic banks has been investigated in the context of the Eurozone debt crises (see, among others, Becker and Ivashina, 2017; Ongena, Popov, and van Horen, 2019).

8. This is especially true for sovereign exposures, which are the focus of our paper. European banks are exempt from requirements to hold additional capital against their sovereign exposures to EU member states. European Systemic Risk Board (2015, p. 15) describes the relevant history. Hence regulatory treatment of sovereign exposures that we use in our sample is mostly homogenous across countries and sample period.

9. Thus, in March 2015, Reuters quoted German Finance Minister Wolfgang Schaeuble as saying that "the new Greek government (led by Syriza) had "destroyed all the trust that had been rebuilt" by its predecessors. A subsequent article also by Reuters, describes a German parliamentarian refusing to support financial assistance for Greece, saying "he has lost all trust in the Athens government...."

10. As the predecessor of the EBA, the Committee of European Banking Supervisors (CEBS) comprised of senior representatives of bank supervisory authorities and central banks of the European Union. The 2010 exercise was undertaken by CEBS and made public by national regulators; however, EBA does not provide the related data on its website. Hence, we obtain this first disclosure from the Peterson Institute

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each disclosure alongside information on how many banks were included and which year-quarters sovereign portfolio information relates to.

Not all banks provide the full breakdown of their sovereign bond portfolios. In particular, the 2016 and 2017 exercises (derived from regulatory FINREP data at EBA) required banks to disclose country breakdowns only if they had more than 10% nondomestic exposures in their sovereign debt portfolios.[11] In addition, twelve banks in 2016 reported to EBA on an individual basis and thus did not provide a country breakdown. The introduction of EBA's COREP data disclosure framework from 2018 onward increased the coverage of banks with sovereign breakdowns and also brought finer granularity.[12] For each disclosure exercise, we thus consider banks that report the country breakdown of their sovereign portfolio and drop those reporting aggregate information.[13] In total, there are 14 different exercises with balance-sheet information on 22 distinct year-quarters for 62–131 banks at each point in time.

Because banks open, merge, and close, they must be traced over time.[14] To track and merge banks in a consistent manner, we use Legal Entity Identifiers (LEI) provided by EBA in some of the disclosures as well as Google searches and enquiries via SNL Financial. The result is an unbalanced panel of 199 banks headquartered in 27 European countries across 22 periods.[15] These data distinguish holdings of sovereign

for International Economics (PIIE), while all other data sets are manually accessed via the EBA. EU banks' exposures constitute around 20% of the total sovereign debt market (S&P Global, 2023), and EBA disclosures cover banks that would add up to 65% of the banking assets in Europe (Saka, 2020). Hence, our sample comprises around 13% (20% × 65%) of the sovereign debt market in Europe.

11. We show later that it is indeed banks that are under-diversified in their sovereign debt portfolios that tend to rely more on trust in their lending decisions to sovereigns. Hence, excluding such banks in 2016 and 2017 biases our estimates toward failing to reject our null hypothesis.

12. In the words of an EBA officer contacted via email: "Since 2016, data is exclusively based on supervisory reporting: the Transparency templates are therefore populated by the EBA using the data collected through the regular supervisory reporting data, without any additional reporting burden on the banks. As the reporting framework has changed and enhanced through the years, you may notice a consequent evolution of the Transparency templates. In particular, in 2016 the sovereign templates were based on FINREP data. In 2018, the introduction of sovereign data in COREP has allowed for a more granular disclosure, but also some discontinuity of the series with respect to the previous exercises."

13. Below, we confirm that our results are not driven by a particular period or set of periods. Our estimates are actually smaller for the period 2016–2018 when the country composition of the banks' sovereign debt portfolios was limited, consistent with the intuition that granularity is necessary for identifying the relationship between trust and bank lending to governments.

14. The European banking industry went through a major consolidation during our sample period (Boer and Portilla, 2020). Hence, when banks in our sample merge, consolidate with a different parent bank, or go bankrupt, they drop from the sample, and new banks are added. We treat an entity as unchanged (even if its official name changes) unless it is acquired by another main entity or merges, creating an independent third entity.

15. Countries (which will later be referred to as "home countries") are Austria, Belgium, Bulgaria, Cyprus, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Ireland, Iceland, Italy, Latvia, Lithuania, Luxembourg, Malta, Netherlands, Norway, Poland, Portugal, Romania, Slovenia, Spain, Sweden, and the United Kingdom.

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